

3.4.5 Making operational decisions to improve performance: managing inventory and supply chains

Content	Additional information
Ways and value of improving flexibility, speed of response and dependability	An understanding of flexibility should include mass customisation.
How to manage supply to match demand and the value of doing so	Ways of matching supply to demand include: • outsourcing • use of temporary and part time employees • producing to order.
Influences on the amount of inventory held	Inventory control should include: • interpreting inventory control charts • lead time • re-order levels • buffer level of inventory • re-order quantities.
Influences on the choice of suppliers	
How to manage the supply chain effectively and efficiently and the value of this	
The value of outsourcing	